

Automobile

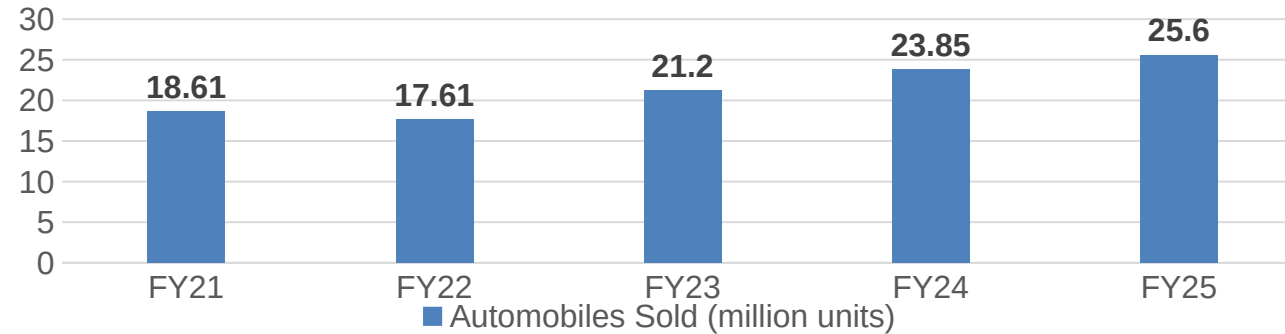
Industry Size

\$213.74 Bn

FY2027E

Annual EV adoption has skyrocketed, growing from 50,000 units in 2016 to 2 Million units annually

Industry Growth



India's electric vehicle market is anticipated to expand at a **CAGR of 33.2%** to attain **\$194.9 Billion** by 2033. The sector accounts for **~7.1%** of the national GDP. Employs over **19 million** people directly and indirectly

Business Model and Industry Product Mix

- Core Revenue:** comes from wholesale vehicle sales through dealers or Direct-to-Consumer (D2C) channels.
- Profit Engine:** Highest margins come from downstream ecosystem services: financing/insurance (F&I), high-margin spare parts, extended warranties, and connected car SaaS subscriptions.

Volume Product Mix: Commuters & SUVs Dominating

- 2-Wheelers (~72%-75%):** Captures the vast majority of total vehicle volume, serving as entry-level mobility.
- Passenger Vehicles (~16%-18%):** Heavily driven by **SUVs**, which now account for over **65%** of PV sales, displacing entry-level hatchbacks.
- Commercial & Farm Vehicles (~10%):** Encompasses trucks, buses, and tractors for logistics and industry.

Fuel & Powertrain Mix: The Energy Transition

ICE (Petrol/Diesel): Retains market leadership (~75%-80%) but is gradually losing ground.

CNG & Hybrids: Serve as the immediate bridge technology for cost efficiency.

EVs: Scaling fastest in high-mileage categories—**>60%** in 3-Wheelers, **~12%-14%** in 2-Wheelers, and **~5%** in passenger cars.

Key players



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Value Chain

Research, Design & Engineering

Automakers spend **8–12% of revenue** on R&D, focusing heavily on software and electric powertrains. Building multiple car models on a single shared platform cuts overall development costs by **up to 30%** and shortens launch cycles to 3–4 years.

Component Sourcing & Procurement

Purchased parts account for **60–70% of a car's total cost**. Traditional cars require **~30K parts**, while EVs need only **~10K**. Automakers use dual-sourcing and local suppliers to prevent supply chain disruptions.

Vehicle Manufacturing & Assembly

Automated factories assemble a car in **15-20 hours**. Because factories are expensive to run, plants must operate at **over 80% capacity utilization** to break even

Sales, Marketing & Distribution

Selling new vehicles yields slim margins of **3–5%**. Automakers rely on dealer networks or direct online sales, while pushing high-margin categories like SUVs, which now account for **over 50% of sales**.

Aftermarket & Lifecycle Services

The biggest profits come after the sale: spare parts, repairs, and auto financing yield high **15–30%+ profit margins**. Software subscriptions and battery recycling create steady, recurring revenue streams.

Raw Materials & Inputs

Component Manufacturers

OEMs (Original Equipment Manufacturers)

Logistics & Distribution

Dealerships, Aftermarket & Services

TATA STEEL



BOSCH
Invented for life

TATA MOTORS

MARUTI

SUZUKI



Traditional brick-and-mortar dealerships

Porter's 5 Forces

Threat of New Entrants

Low

Steep upfront capital investment and established economies of scale create substantial entry barriers for newcomers.

Bargaining Power of Buyers

Medium

Key suppliers hold moderate leverage due to specialized inputs, but alternative sourcing channels exist to control costs.

Bargaining Power of Suppliers

High

Customers possess transparent pricing data and low switching costs, granting them high leverage to demand price discounts.

Threat of Substitutes

Medium

Substitute products exist with reasonable functionality, capping maximum price ceilings and margin expansion potential.

Industry Rivalry

High

Incumbent firms compete aggressively on pricing and marketing, driving up customer acquisition costs across the sector.

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Growth Drivers

Low Penetration & Income Growth: With only 35 cars per 1,000 people (vs. ~314 globally) and 7–8% income growth, domestic room for expansion is massive.

Premiumization & SUV Shift: SUVs now command >50% of vehicle sales, driving higher average selling prices and profits via advanced features.

Green Powertrains: Rising fuel prices and an expanding EV market (\$200B+ opportunity by 2030) are accelerating adoption across EVs, CNG, and hybrids.

Policy & Infrastructure Push: Government schemes (PLI incentives, lower EV tax) combined with expanding highway networks directly boost buyer demand.

Global Export Hub: India's low-cost manufacturing scale (5.3M+ exports in FY25) cements its position as a world leader in two-wheelers, tractors, and compact vehicles.

Emerging Trends

EVs & hybrids: Shift toward electric vehicles, with hybrids gaining ground too.

Autonomous tech: Growth of self-driving features and safety systems (ADAS).

Connected cars: Vehicles with internet, real-time updates, smart infotainment.

Stricter safety norms: Governments mandating more safety tech.

Chinese competition: Chinese automakers expanding globally with low-cost EVs.

Local manufacturing: Shift from global to regional supply chains due to tariffs.

Software-driven revenue: Cars generating income via subscriptions and digital services.

Recent Mergers & Acquisitions

Tata Motors / Iveco Group (€3.8 Billion / ~\$4.3 Billion)

•**Segment of Operation:** Commercial Vehicles (Heavy & Medium Trucks, Buses)

•**Timeline:** Unveiled in **July 2025**; closing targeted through **FY2026** following the divestment of Iveco's defense arm.

•**Why:** Provides Tata Motors with an instant, direct commercial vehicle manufacturing and distribution footprint across Europe and Latin America. The combined entity scales total commercial vehicle revenues toward **~€22 Billion**.

Key Business Risks

Dual-Capital Burden: Funding legacy ICE operations while investing heavily in developing EV platforms.

Supply Chain Vulnerability: Over-reliance on concentrated battery minerals, microchips, and volatile tariffs.

High Economic Sensitivity: High fixed manufacturing costs paired with demand drops from high interest rates.

Strict Regulation & Recalls: Heavy financial penalties for missing emissions targets and complex safety recalls.

Software Disruption: Complex transition to software-driven vehicles facing cyber risks and tech rivals.

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Stock Performance & Valuation Ratios

Major Restructuring: Tata Motors demerged into separate Commercial Vehicle and Passenger/EV listed companies, alongside Hyundai's major Indian stock market listing.

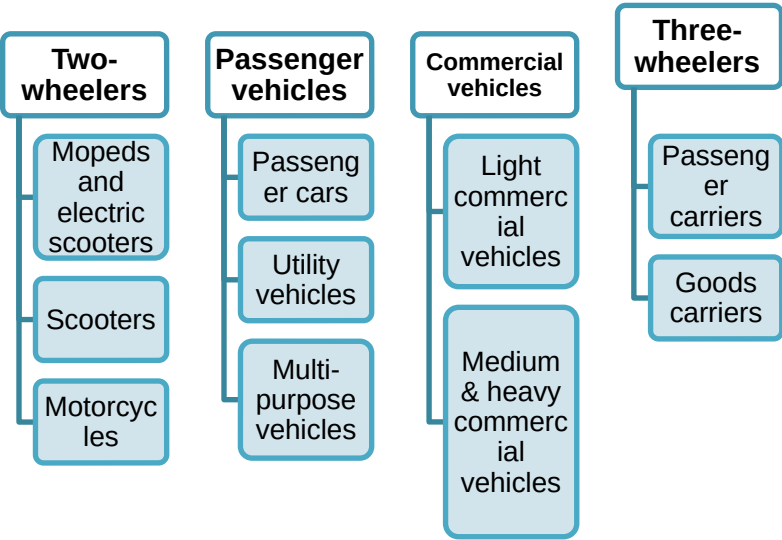
Divergent Valuations: Two-wheeler stocks command higher P/E multiples (**27x-55x+**) due to low CapEx, while four-wheelers trade on lower EV/EBITDA (**10x-17x**).

Strong Rally Drivers: Aggressive corporate debt reduction, cheaper raw materials, and strong SUV sales propelled Nifty Auto outperformance.

Component Outperformance: Auto ancillary firms outperformed traditional OEMs by capturing high-margin EV supply chains and defense export orders.

Policy Tailwinds: Government PLI scheme payouts and targeted tax rationalizations continue to support operating margins and volume growth.

Sector Breakdown



Industry Players

Automotive Sector / Segment	Market Leader	Market Share (%)
Passenger Vehicles	Maruti Suzuki	40.25%
Two-Wheelers (2W)	Hero MotoCorp	~29%
Commercial Vehicles	Tata Motors	34.0%
Electric Passenger Vehicles (EV-PV)	Tata Motors	37.8%
Agricultural Tractors	Mahindra & Mahindra	43.6%

Unit Economics (Mid Segment SUV)

Cost Component	Cost per Unit (₹)	% of ASP	Operational Detail
Gross Vehicle ASP	₹15.00 Lakhs	100.0%	Retail price
Powertrain & EngineBattery	₹4.50 Lakhs	30.0%	Localized assembly
Chassis, Body & Steel	₹3.75 Lakhs	25.0%	Stamped sheet metal & localized body
Auto Electronics & Infotainment	₹2.25 Lakhs	15.0%	ADAS sensors, touchscreens, wiring
Factory Direct Labor & Overhead	₹1.50 Lakhs	10.0%	Assembly line labor & plant power
Total (COGS)	₹12.00 Lakhs	80.0%	Direct mfg cost
Gross Margin per Unit	₹3.00 Lakhs	20.0%	Mfg Contribution
Outbound Freight & Logistics	₹0.45 Lakhs	3.0%	Distribution to dealer stockyards
Dealer Commission & Warranty	₹0.30 Lakhs	2.0%	Dealer margin & warranty reserves
Net Unit			Fixed cost